THE EQUITY EXPRESSION OF THE IRAN WAR THESIS

The Crack, Not The Barrel

Crude oil has spent this week falling. Brent slipped toward $87 a barrel on Thursday, a fourth consecutive session of declines, after Iran and Oman reached an agreement over their respective shares of the Strait of Hormuz's waters and after fresh US sanctions on Tehran landed softer than traders had feared. Read the crude screen alone and the war looks like it is winding down.

Ten days earlier, the US diesel crack spread — the margin for turning a barrel of crude into a barrel of diesel — settled above $100 for the first time in history, reaching $102.20. The two facts are not in conflict. They describe different markets. The war has stopped being a crude story and become a refining story, and that changes who collects the money.

A reframe worth holding onto

The internal Wiki's Iran War page, drawing on Greed & Fear's 20 August issue, makes the point in portfolio terms: with crude itself range-bound, the widening gap between refined products and WTI is *the war's price signature now*. Chris Wood's stated conclusion is that investors need to own oil and energy stocks as the best hedge, with gold second best. That is a view, not a forecast — but it locates the exposure in the right place. A conflict that damages refining, shipping and logistics does not have to lift the crude price to be extremely expensive. It can express itself entirely in the spread.

METHOD. External figures — prices, inventories, company results, Fed data — are drawn from named public reporting and carry an as-of date in the caption or source note. Internal figures and framings are drawn from the Heyokha research Wiki's *Iran War* theme page (created 23 June 2026, last reviewed 21 August 2026) and are attributed to the named research provider whose issue they come from. Wiki material represents those providers' opinions and is labelled as views throughout. Where the internal view and the external tape disagree, the disagreement is stated rather than resolved.

Consider a timber town after a hurricane. The storm passes over the forest and leaves most of it standing, but it takes the roofs off half the sawmills. In the weeks afterwards, the price of a standing tree barely moves — there is still plenty of timber, and nobody can do much with it. The price of a finished plank, however, goes vertical, because the number of places able to turn one into the other has fallen. A merchant who watches only the timber price concludes the storm was survivable. The money, meanwhile, is accruing to whoever still owns a working mill, and it will keep accruing until either the roofs are repaired or people stop needing planks. The crude market is the standing timber. The diesel crack is the plank.

THE STORY IN 60 SECONDS

$102.20

US diesel crack spread on 17 August 2026 — an all-time high, and the first settlement in triple digits. It had been $80.47 on 5 August and $101.17 by 14 August.
Bloomberg, 18 August 2026

107.1m

Barrels of US distillate in inventory in early August 2026 — the lowest for the time of year since 1996, and about 12% below the five-year seasonal average.
EIA data, early August 2026

$5.45

US average on-highway retail diesel, per gallon, 17 August 2026 — against roughly $3.69 a year earlier. The crack is not an abstraction; it arrives as freight cost.
EIA Weekly On-Highway Diesel Survey

WHAT ACTUALLY HAPPENED

A margin, not a price, went to a record

A crack spread is the difference between what a refiner pays for crude and what it receives for the products made from it. It is a margin, and it moves independently of the oil price. Crude can fall while the crack rises, which is precisely what has happened this month: WTI settled around $80.78 on 26 August, down 1.92% on the day, while the diesel crack sat near $100 having touched $102.20 on 17 August. The refiner is indifferent to the level of crude in a way the producer is not. What the refiner cares about is the gap.

Three things opened the gap at once. The first is the Iran war's damage to Gulf refining, shipping and export logistics, now six months old. The second is Russia's ban on diesel exports, which removed another large block of supply from the seaborne market. The third is entirely mundane and arguably the most important: the northern-hemisphere harvest. Late summer and autumn is when farmers burn enormous volumes of diesel running tractors and combines, and it is also the window in which the United States is supposed to be building distillate inventory ahead of winter heating demand. Instead, stocks entered that window at their lowest seasonal level in three decades.

The inventory arithmetic is what makes the spike hard to dismiss as noise. At roughly 107.1 million barrels against consumption of about 4.2 million barrels a day, the United States is carrying somewhere near 25 days of cover — thin by the standards usually considered an adequate buffer against disruption. Distillate exports have simultaneously run at 1.884 million barrels a day, the highest weekly figure in EIA records going back to 2010, because American refiners are the marginal supplier to a world that is short. Domestic tightness and record exports are the same fact seen from two ends.

Underneath the cyclical squeeze sits a slower structural one. LyondellBasell's Houston refinery closed in early 2025. Two California refineries with a combined 284,000 barrels a day of capacity are scheduled to close over the next two years. Refining capacity, once retired, does not come back when the margin improves; the plant is dismantled. Each closure raises the margin that the surviving plants can command in the next disruption, which is a large part of why this particular spike went further than previous ones.

THE ESSENTIAL DISTINCTION

The crude price tells you what the world thinks about supply of oil. The crack spread tells you what the world thinks about the supply of *refineries*. This month those two markets have moved in opposite directions, and only one of them is where the war is still being priced.

MECHANISM

Following one barrel through the economics

1 — Crude in

A refiner buys a barrel of WTI. On 26 August 2026 that cost about $80.78. This is the input, and its price has been falling for four sessions on Middle East diplomacy.

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2 — The cut

The barrel is split into products. The industry's standard benchmark, the 3-2-1 crack, models three barrels of crude yielding two of gasoline and one of distillate.

→

3 — Products out

The distillate leg is where the scarcity sits. On 17 August 2026 diesel priced $102.20 above crude — a record, and the first triple-digit settlement.

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4 — Margin kept

Blended across the cut, the WTI 3-2-1 crack reached roughly $59 a barrel — close to three times its level at the start of 2026. That is the refiner's gross take.

Sources: WTI settlement 26 August 2026; diesel crack record 17 August 2026 (Bloomberg, 18 August 2026); WTI 3-2-1 crack level and comparison to January 2026 as reported August 2026. The 3-2-1 ratio is a standard modelling convention, not a description of any particular refinery's actual yield.

~$59/bbl

The WTI 3-2-1 crack — the blended refining margin — at roughly three times where it began 2026. This is the number driving refiner earnings.

3.3%

Core PCE inflation, year on year, for July 2026, reported 26 August. Above the 3.2% consensus. Headline PCE ran at 3.7%, unchanged from June.

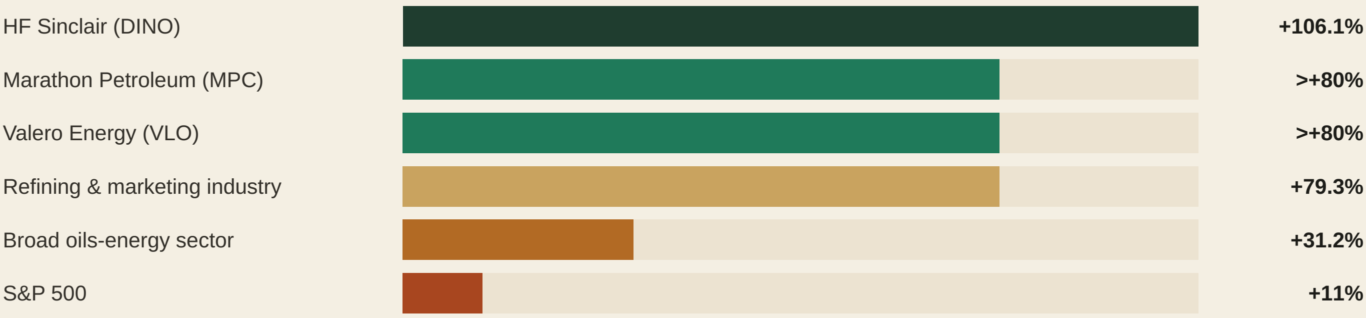
72.7%

Market-implied probability of a Federal Reserve rate hike by December 2026, with September odds at 40.4%. The funds target is 3.50–3.75%.

Sources: refining margin as reported August 2026; PCE release 26 August 2026; rate-probability pricing as of 26 August 2026. Figures are point-in-time and move daily.

THE CENTRAL COMPARISON

Refining, not energy, and not the market



2026 year-to-date price performance as reported in August 2026. Bar widths are illustrative and scaled to the largest value; they are not drawn to a measured axis. The point is the ordering and the gap between refining and the broad energy sector, not the precision of any single bar.

The dispersion is the argument. Owning energy in 2026 has not been the trade; owning the refining step has. The broad oils-energy complex has returned roughly 31%, which is respectable and roughly what one would expect from a sector with a war in its principal producing region. The refiners have returned two to three times that, because they are levered not to the price of oil but to the scarcity of the equipment that processes it.

A USEFUL MENTAL MODEL

A crack spread is not the price of a commodity. It is the *rent* charged by scarce industrial capacity. Commodity prices mean-revert when supply responds; rents persist for exactly as long as the capacity stays scarce — and refineries take years to build and minutes to announce closing.

WHAT HAS ACTUALLY SHIFTED

Four changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The war moved from crude to products	WTI around $80.78 and falling on 26 August; diesel crack at a record $102.20 on 17 August	It makes the exposure specific and durable rather than a blunt oil-price bet — but it also means a crude rally is no longer required, and equally that peace headlines do not necessarily close the spread. The signal is harder to read in both directions.

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Inventories entered the demand peak already thin	107.1m barrels of distillate, lowest seasonal since 1996, roughly 25 days of cover	Thin cover magnifies any further disruption into price. It equally means that a few weeks of ordinary builds, or a mild winter, unwinds the scarcity quickly from a very high margin base.
Capacity is being retired, not mothballed	LyondellBasell Houston closed 2025; 284,000 b/d of Californian capacity scheduled to close within two years	Permanently smaller capacity raises the structural floor under future margins. It also invites policy attention — fuel prices are politically salient, and windfall margins in a cost-of-living crisis attract intervention.
Supply loss is not only Iranian	Russia's diesel export ban and Gulf disruption both feed the same distillate shortage	Multiple independent causes make the tightness more robust than a single-conflict story. But it also means the thesis is not purely an Iran trade — the Russian leg could reverse on its own timetable, without any change in Tehran.

BULL AND BEAR, STATED FAIRLY

The case on each side

The constructive case

- **The margin is at an all-time high with inventories at a thirty-year seasonal low.** $102.20 on 17 August against 107.1m barrels of distillate — roughly 25 days of cover — going into harvest and heating season.
- **Capacity loss is structural.** A closed refinery is dismantled, not paused. Houston in 2025 and 284,000 b/d in California over two years permanently raise the margin the survivors can command.
- **America is the marginal global supplier.** Distillate exports at 1.884m b/d, the highest weekly figure in EIA records back to 2010, mean US refiners clear a world shortage, not just a domestic one.
- **The earnings are arriving, not projected.** HF Sinclair reported Q2 EPS of $5.31 against a $4.39 consensus on 28 July 2026; PBF Energy swung from loss to a profit above $1bn, its best since 2022.
- **Capital is returning to shareholders.** TD Cowen's Jason Gabelman estimates Marathon and Valero together could repurchase around 20% of their market value between Q3 and the end of next year.
- **The internal view sees no near-term resolution.** Greed & Fear's 20 August issue holds that Hormuz remains essentially closed and that Tehran has every incentive to maintain pressure until the US mid-terms — a view, but a specific and falsifiable one.

The sceptical case

- **The run is historically extreme and historically punished.** CNBC noted on 17 August that refiner stocks were on a nearly unprecedented run; on the last five occasions the group rose more than 80% in a year, it fell subsequently.
- **Cheap multiples at peak margins are the classic trap.** PBF at a forward P/E near 4.8x looks inexpensive, but refiners always look cheapest on peak-cycle earnings, which is precisely when the earnings are least durable.
- **The spread is mean-reverting by construction.** $80.47 to $102.20 in twelve days is a dislocation, not a plateau. Refiners respond to record margins by deferring maintenance and maximising runs, which is self-correcting.
- **Diplomacy is moving against the thesis right now.** The Iran-Oman agreement on Hormuz waters, and US sanctions that landed softer than feared, drove Brent down four straight sessions into 27 August.
- **The demand side is the margin's own enemy.** Diesel at $5.45 a gallon against $3.69 a year earlier is itself demand destruction, and it feeds the inflation that is keeping the Fed hawkish.
- **Seasonality expires.** Harvest and pre-winter restocking are the current support. Both pass. A Q4 in which the war persists but the seasonal bid fades would test whether this is a structural rent or a calendar effect.

WHERE THE ACCOUNTS DIVERGE

An unresolved disagreement

The internal and external readings point in opposite directions this week, and the edition does not attempt to settle which is right. The Wiki's position, drawn from Greed & Fear on 6 and 20 August, is that Hormuz stays shut, that talk of a US-Iran deal deserves extreme scepticism, and that Tehran will not negotiate seriously before the November mid-terms. Notably, Wood pre-emptively distinguished an Oman-Iran arrangement from a genuine settlement on 6 August, calling it "another matter altogether" — three weeks before precisely such an arrangement was reported. The external tape has taken the opposite view: crude fell for four consecutive sessions into 27 August on that agreement and on softer-than-expected sanctions, and Tehran itself cautioned that reopening the waterway requires more than a deal with Oman.

Both accounts cannot be equally right about the next three months, and the diesel crack is not a tiebreaker — it can stay elevated on Russian export policy and thin inventories regardless of what happens in Hormuz. An investor who accepts the internal view is making a judgement about the durability of a specific political stalemate. An investor who accepts the tape is making a judgement that the physical shortage, not the conflict, is the real driver. Those are different theses that currently recommend a similar position, which is a comfortable state of affairs and an easy one to mistake for confirmation.

WHAT TO WATCH FROM HERE

The dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Warsh at Jackson Hole, 28 August	The new Fed Chair's first keynote in the role, delivered the day after this edition	Energy-driven inflation is the channel connecting this theme to rates. A hawkish framing hardens the December hike pricing already at 72.7%.
Weekly EIA distillate stocks	Whether inventories build or draw through September	Builds from a 30-year seasonal low would signal the squeeze resolving. Continued draws into heating season would extend it.
The diesel crack against $100	Whether triple digits hold or prove a one-week spike	The crack is the earnings driver. A sustained move back toward the $80 level of 5 August removes most of the incremental case.
Hormuz transit counts	Actual vessel movements, as distinct from announced agreements	Transits are the fact; communiqués are the claim. The internal view rests entirely on the waterway staying effectively shut.
Russia's diesel export ban	Whether and when the ban is lifted or eased	This is the largest non-Iranian leg of the shortage. Its removal would loosen distillate without any change in the Gulf.
US mid-term elections, early November	The domestic clock on the administration's Iran policy	Greed & Fear's view is that Tehran's negotiating incentive is timed to it. A post-election shift either way is the theme's main political catalyst.

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold the view

Own the margin

Hold the refiners directly — the purest expression, since their earnings are the crack. **The cost:** maximum cyclicality. This is a group that has already doubled in some cases, trades on peak-cycle earnings at trough multiples, and has historically fallen after runs of this magnitude.

Own the logistics

Hold the product tankers that move distillate to where it is short. Dislocation lengthens voyages and lifts rates. **The cost:** an indirect claim on the same shortage, with rate volatility, high operational leverage and a fleet that can be redeployed against you.

Own the hedge

Hold broad energy and gold, which is the internal view's own framing — energy first, gold second. **The cost:** it gives up most of the crack. The broad sector has returned roughly a third of what refining has this year, in exchange for far less single-step concentration risk.

The companies named below are listed to make the mechanics concrete and to show where in the chain each figure sits. They are illustrative examples, NOT recommendations, and no view is expressed on the merits of any security at any price.

VLO

All-time intraday high
$351.20 · 20 Aug 2026

Valero Energy

The largest independent US refiner and the cleanest read on the crack. Valero's earnings translate the distillate margin almost directly, with limited upstream production to dilute the effect. Its shares set a fresh all-time intraday high in the same week the diesel crack hit its record, trading within one percent of the 52-week high on that date.

WATCH NEXT

> Whether throughput can be pushed further, or whether the group is already running flat out into the margin.

MPC

Opened $355.31
26 Aug 2026

Marathon Petroleum

The largest US refiner by capacity, sitting near a 52-week high of $367.60 and holding firm even as crude slid this week — itself an illustration of the edition's central point. TD Cowen estimates Marathon and Valero together could repurchase roughly 20% of their combined market value between Q3 and the end of next year.

WATCH NEXT

> Whether the buyback pace is maintained if the crack retreats toward its early-August level.

DINO

+106.1% YTD
52-wk high $95.59

HF Sinclair

The strongest performer of the group in 2026, against 31.2% for the broad oils-energy sector. Its 28 July 2026 result reported EPS of $5.31 against a $4.39 consensus, with revenue beating by a wide margin — evidence that the margin expansion is landing in reported earnings rather than remaining a spot-market phenomenon.

WATCH NEXT

> Whether the next quarter can beat a consensus that has now been revised sharply upward.

PSX

Above $240
August 2026

Phillips 66

A more diversified operator, with midstream and chemicals alongside refining, which mutes the crack's effect in both directions. Shares have traded above $240 through August on stronger second-quarter results and an enlarged repurchase programme. The diversification is the case and the caveat simultaneously.

WATCH NEXT

> Whether the non-refining segments cushion the decline if distillate margins normalise.

PBF

Profit >$1bn
best since 2022

PBF Energy

The highest-beta expression of the theme. PBF swung from a loss to a profit exceeding $1bn, its strongest since 2022, and gained 17.6% over the past month. It trades at a forward P/E near 4.8x — a multiple that reads as cheap and, on peak-cycle refining earnings, has historically read as a warning instead.

WATCH NEXT

> The multiple itself: whether it re-rates upward or the earnings fall to meet it.

STNG

LR2 $80,000/day
Q2 2026 TCE

Scorpio Tankers

The logistics leg. Scorpio operates 81 product tankers, and reported Q2 2026 rates of $80,000 a day on LR2 vessels, $53,000 on MRs and $54,000 on Handymaxes. When distillate is short in one region and long in another, someone is paid to close the gap, and product tanker rates are that payment.

WATCH NEXT

> Whether rates hold if the arbitrage narrows — freight is paid for dislocation, not for shortage as such.

The bottom line

What has been repriced this month is not oil. It is refining capacity. A market that spent six months watching the crude screen for evidence of the Iran war has found that the war's cost migrated into a margin — the spread between a barrel of crude and a barrel of diesel — which reached an all-time $102.20 on 17 August while crude itself fell. That spread is a rent on scarce industrial plant, and the plant is scarcer than it was, permanently, because refineries that close are dismantled rather than mothballed. The equity market has understood this: refiners have returned two to three times the broad energy sector this year, and roughly ten times the S&P 500.

The evidence is genuinely mixed on what happens next, and the mixture is worth stating plainly. Three of the four causes of the squeeze — Gulf disruption, Russian export policy, thin inventories — could each ease independently, and the fourth, harvest and pre-winter demand, expires on the calendar regardless. Diplomacy is currently moving against the thesis, with crude down four straight sessions on the Iran-Oman agreement. Against that, the structural capacity loss is real and does not reverse, and the internal view holds that the political stalemate has months left to run. The reasonable inference is that a durable margin premium exists but that the current level is above it, and that the distance between the two is unknown. The next test is specific and arrives soon: whether weekly EIA distillate stocks build through September from a thirty-year seasonal low, and whether the crack holds triple digits when the harvest bid goes away.

Sources and update notes

(a) Internal. Principal page: *Iran War* (type: theme; created 23 June 2026; last reviewed 21 August 2026; 8,466 words), together with its linked theme pages *Oil & Gas*, *Gold*, *Defense* and the concept page *Federal Reserve*. Provider issues relied on directly: **Greed & Fear** (CLSA, Chris Wood), "40 trillion and counting", 20 August 2026 — source of the diesel-crack observation, the Rezaei appointment on 9 August, the mid-term timing argument, the Reuters/Ipsos polling of 14–17 August, and the "energy first, gold second" portfolio statement; **Greed & Fear**, "Intervention and fiscal tremors", 6 August 2026 — source of the scepticism on a US-Iran Hormuz deal and the distinction drawn between that and an Oman-Iran arrangement; **13D Research** WILTW, 6 August 2026 — the "panic in the Pentagon" munitions analysis; **A. Gary Shilling's Insight**, 1 August and 1 July 2026 — the war's oil-price path and the inflation-persistence channel to Fed policy; **Solid Ground** (Russell Napier), 9 and 25 March 2026 — the three-wars framing and the financial-repression argument.

(b) Limitation on the internal view. The *Iran War* page carries 25 source references, and the large majority are 13D Research WILTW and WATMTU issues. The military assessment, the escalation framework, the "economic domain" thesis and the critical-minerals chokehold argument all originate with a single provider; Greed & Fear supplies the portfolio expression, while Solid Ground and Shilling supply the macro transmission channel. This is a meaningful concentration. More significantly, no source on the page argues that the war de-escalates or that the energy dislocation resolves quickly — the page has no internal bear case. The sceptical column in this edition was therefore constructed almost entirely from external reporting and from tensions visible in the companies' own numbers, principally the combination of record margins with trough valuation multiples and the documented history of reversals after large refiner rallies. Readers should treat the internal directional view as one well-argued house position rather than a balanced survey.

(c) External sources. (1) US diesel crack spread reached an all-time high of $102.20/bbl on 17 August 2026, the first triple-digit settlement, having been $80.47 on 5 August and $101.17 on 14 August — Bloomberg, 18 August 2026. (2) US distillate inventories approximately 107.1m barrels in early August 2026, lowest for the time of year since 1996, about 12% below the five-year seasonal average, roughly 25 days of cover at consumption near 4.2m b/d — EIA data as reported August 2026. (3) US distillate exports 1.884m b/d, the highest weekly figure in EIA records since 2010 — EIA, August 2026. (4) WTI crude $80.78/bbl on 26 August 2026, down 1.92% on the day; Brent just below $89 on 26 August and slipping toward $87 on 27 August, a fourth consecutive decline, on the Iran-Oman Strait of Hormuz agreement and softer-than-expected US sanctions on Iran — market reporting, 24–27 August 2026. (5) WTI 3-2-1 crack approximately $59/bbl, close to three times its level at the start of 2026 — reported August 2026. (6) US average on-highway retail diesel $5.45/gallon on 17 August 2026 against approximately $3.69 a year earlier — EIA Weekly On-Highway Diesel Survey. (7) Core PCE inflation 3.3% year on year for July

2026 against 3.2% consensus; headline PCE 3.7%, unchanged from June; released 26 August 2026 — CNBC. (8) Federal funds target 3.50–3.75%; market-implied hike probability 40.4% for September and 72.7% through December, as of 26 August 2026. (9) Jackson Hole symposium opens 27 August 2026, with Chair Kevin Warsh's keynote on Friday 28 August. (10) 2026 year-to-date performance: HF Sinclair +106.1%, refining and marketing industry +79.3%, broad oils-energy sector +31.2%; Marathon Petroleum, Valero and HF Sinclair each above +80% against approximately +11% for the S&P 500 — Zacks and associated reporting, August 2026. (11) Valero all-time intraday high $351.20 on 20 August 2026. (12) Marathon Petroleum opened $355.31 on 26 August 2026, 52-week high $367.60. (13) HF Sinclair 52-week high $95.59; Q2 2026 EPS $5.31 against $4.39 consensus, reported 28 July 2026. (14) PBF Energy profit above $1bn, best since 2022; +17.6% over the past month; forward P/E approximately 4.77x. (15) Phillips 66 trading above $240 in August 2026 on stronger Q2 results and an expanded buyback. (16) Scorpio Tankers Q2 2026 TCE rates: LR2 $80,000/day, MR $53,000/day, Handymax $54,000/day; fleet of 81 product tankers. (17) TD Cowen (Jason Gabelman) estimate that Marathon and Valero could repurchase around 20% of market value between Q3 2026 and end-2027. (18) CNBC, 17 August 2026, on refiner stocks' historically unusual run and the five prior instances of subsequent decline. (19) LyondellBasell Houston refinery closure, early 2025; two California refineries totalling 284,000 b/d scheduled to close within two years — EIA and industry reporting. (20) Russia's diesel export ban cited as a contributing driver of distillate tightness, August 2026.

(d) Editorial choices in this automated run. Topic selection followed the standard procedure. Sources published since 6 August 2026 were scored by recency and title prominence; the ranked eligible themes were Gold (17), Gold Miners (12), AI Capex (11), Copper (10), then Iran War and China Equities tied at 5. The first five were all excluded by the 30-day cooldown — Gold ran on 26 August, Humanoid Robots on 26 August, Rare Earth Magnets on 25 August, Memory Supercycle on 24 August, China Equities on 21 August, Copper on 19 August, Gold Miners on 5 August and AI Capex on 4 August — leaving *Iran War* as the highest-scoring eligible theme. The cooldown check was performed against the full archive folder, which was read directly rather than through the remote-devices bridge; 26 prior editions were parsed successfully. One archive irregularity is worth recording: filenames exist in two formats, an older *YYYY-MM-DD - Topic* convention covering the eight editions dated 24 July to 14 August and the current *YYYYMMDD Topic* convention thereafter. A parser matching only the current format would silently miss the earlier files and could permit a premature repeat. Within the topic, the angle was chosen from the internal material: Greed & Fear's 20 August observation that the diesel crack, not crude, is now the war's price signature was the single most specific and most externally verifiable claim on the page, and it proved fully confirmable against public reporting. Tool status this run: the Heyokha Wiki MCP server and all web research tools functioned normally. The remote-devices bridge was not available, but this did not impede the run, as the archive folder was directly accessible. Two figures encountered during research were deliberately discarded as unverifiable: a quarterly EPS figure for Marathon Petroleum that could not be reliably tied to a specific reporting period, and a Valero throughput record with the same ambiguity. Neither appears above.
